

Best's Credit Rating Effective Date

October 29, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Funeral Directors Group

AMB #: 070016

Associated Ultimate Parent: AMB # 050818 - Directors Investment Group, Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A-
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a-
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: Funeral Directors Group | **AMB #:** 070016

AMB # **Rating Unit Members**
009492 Funeral Directors Life Ins Co

Rating Rationale

Balance Sheet Strength: **Very Strong**

- The risk-adjusted capitalization of Funeral Directors Group (Funeral Directors) has been assessed within the very strong category as measured by Best's Capital Adequacy Ratio (BCAR).
- Capital has consistently increased year over year with a 6.6% five-year CAGR. The capital growth is driven by retained earnings.
- The investment portfolio is managed by an affiliate, Parkway Advisors LP, and has had consistently higher yields than industry averages. However, the group has a relatively high allocation to class 2 bonds and below-investment-grade bonds.
- The group has maintained sufficient liquidity and consistent operating cash flows in both high and low interest rate environments.

Operating Performance: **Adequate**

- Operating results have seen improvement after slight declines over the past three years. Year-end 2024 net income increased to \$13.2 million after declining to \$10.8 million in 2023 (from \$12.8 million in 2022). Net income through the second quarter of 2025 has moderately declined to \$5.5 million when compared to the \$7.4 million seen in the same period as last year.
- Net investment income has seen consistent increases and remains the primary driver of the group's income. The group focuses its investment philosophy on maximizing book yield, immunizing liabilities, limiting risk, and maintaining appropriate liquidity.
- Direct premiums written (DPW) increased 13% to \$535 million as of year-end 2024 from \$475 million as of year-end 2023. The five-year CAGR for DPW is 15.0%. All premiums are preneed insurance policies but come in the form of life or annuity policies.

Business Profile: **Neutral**

- Funeral Directors is a prepaid funeral life insurance and annuity organization. The product is offered under two different lines, life and annuity, depending on age and regulation.
- Although Funeral Directors only offers preneed insurance policies, the group has grown premium rapidly and has increased its market share in the preneed space.
- The group's business model cannot be easily replicated. Funeral Directors focuses on providing ancillary products and services to the funeral homes in its distribution network.

Enterprise Risk Management: **Appropriate**

- Enterprise risk management (ERM) comes from the top down and is embedded throughout the organization. The organization has participation from the board of directors and a number of subcommittees as a part of the ERM program.
- Risks are categorized and directly associated with overall business objectives. Risk themes include the following: Processes and Systems, Personnel, Technology / Data Security / Data Integrity, Growth from within, Industry Leadership, and External Factors.
- The asset/liability management (ALM) program is well developed and accounts for the majority of the group's stress testing.

Outlook

- The stable outlooks reflect the expectation that the group will maintain a balance sheet strength assessment in the very strong range, while gaining profitable premium growth.

Rating Drivers

- A negative rating action could occur if operating performance were to deteriorate.
- A negative rating action could occur if there were a significant decline in balance sheet metrics.
- A positive rating action could occur if the group experiences a sustained improvement in risk-adjusted capital metrics.
- A positive rating action could occur if the group is able to sustain premium growth, while continuing to uphold improved return metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	42.6	24.8	18.3	17.0

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	2,594,722	2,319,364	2,452,589	2,203,528	1,983,272	1,803,550	1,661,492
Total	2,594,722	2,319,364	2,452,589	2,203,528	1,983,272	1,803,550	1,661,492
Liabilities:							
Net Life Reserves	2,350,450	2,089,564	2,215,861	1,977,996	1,774,794	1,598,473	1,474,246
Liability for Deposit Contracts	841	669	739	612	509	470	381
Asset Valuation Reserve	29,119	24,789	26,909	22,374	17,729	15,905	12,882
Other General Account	29,248	27,420	28,304	32,174	28,428	30,017	29,661
Total	2,409,657	2,142,442	2,271,813	2,033,156	1,821,460	1,644,866	1,517,169
Total Capital and Surplus	185,064	176,922	180,776	170,371	161,813	158,683	144,322
Net Income	5,512	7,386	13,213	10,814	12,833	15,686	5,246
Net Premiums Earned	302,782	263,860	535,401	474,680	424,741	356,227	260,037
Net Investment Income	62,193	54,355	114,106	100,359	86,661	78,459	79,672

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	1.4	2.2	1.9	1.8	2.0	2.5	2.9	2.2
Operating Return on Capital and Surplus	5.8	8.2	7.2	6.2	6.6	7.3	7.0	6.8
Net Investment Yield	5.0	4.8	4.9	4.8	4.6	4.6	5.0	4.8
Pre-Tax Investment Total Return	5.0	4.9	5.0	4.8	4.6	5.0	5.2	4.9

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	13.0	12.1	12.6	11.9	11.3	10.4	10.5
Higher Risk Assets to Capital and Surplus:							
All Other Higher Risk Assets	88.8	80.9	89.9	83.6	71.7	83.0	62.0

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	89.1	91.2	90.0	92.5	93.5	94.6	92.8
Net Operating Cash Flow USD (000)	140,280	114,957	248,317	215,266	185,916	150,475	71,699

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

The overall balance sheet assessment is very strong. Funeral Directors has shown consistently adequate liquidity and organic surplus growth in both high and low interest rate environments. The company has no financial or reinsurance leverage. Borrowing capacity at

Balance Sheet Strength (Continued...)

the holding company level and recently-attained FHLB membership provide additional avenues of financial flexibility that help ensure the company is adequately capitalized as they grow the business.

Capitalization

The rating of Funeral Directors Life Insurance Company (FDLIC) reflects the group's risk-adjusted capital position being assessed within the very strong category based on AM Best's Capital Adequacy Ratio. The company's capital and surplus position has increased steadily in recent years, due to retained earnings from operating income and lack of stockholder dividends to its parent.

Capital Generation Analysis USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	180,776	170,371	170,371	161,813	158,683	144,322	137,705
Net Operating Gain	5,279	7,133	12,696	10,293	10,533	11,006	9,832
Net Realized Capital Gains (Losses)	233	254	517	522	2,300	4,680	-4,586
Net Unrealized Capital Gains (Losses)	184	335	228	247	-652	764	354
Stockholder Dividends	...	...	...	...	...	-369	...
Other Changes in Capital and Surplus	-1,406	-1,170	-3,036	-2,504	-9,051	-1,720	1,018
Net Change in Capital and Surplus	4,289	6,551	10,404	8,558	3,130	14,361	6,617
Ending Capital and Surplus	185,064	176,922	180,776	170,371	161,813	158,683	144,322
Net Change in Capital and Surplus (%)	2.4	3.8	6.1	5.3	2.0	10.0	4.8
Net Change in Capital and Surplus (5 yr CAGR)	...	...	5.6	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

FDLIC's assets are managed by its affiliate, Parkway Advisors, LP. Parkway Advisors is a registered investment advisor firm charged with managing the company's assets in accordance with its investment strategy. Funeral Directors has a relatively high allocation to NAIC 2 bonds, accounting for roughly 34% of total bond holdings, which increases the company's exposure to credit risk. In 2024, the allocation to NAIC 2 bonds has decreased from prior years. The portfolio has delivered a steady stream of favorable net investment income that generally exceeds industry benchmarks. More than 80% of the investment portfolio is comprised of long-term bonds with over 10% allocated to commercial mortgage loans. The loan portfolio, consisting of loans extended to funeral homes, serves to enhance yield and diversify the asset portfolio while simultaneously strengthening the company's relationships with funeral homes where core business is placed. The remainder of the investment portfolio is comprised of real estate and a small amount of Schedule BA and cash and short-term securities. Below investment grade bond exposure has fluctuated over the past five years but consistently is around 4% to 7% of the bond portfolio.

Composition of Cash and Invested Assets	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	2,550,826	2,281,096	2,411,895	2,166,878	1,950,079	1,773,219	1,624,092
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	0.6	0.6	0.6	0.5	0.5	0.5	0.5
Bonds	82.3	83.9	83.0	85.0	85.5	85.9	84.9
Stocks	0.3	0.3	0.3	0.3	0.4	0.4	0.3
Mortgage Loans	15.4	14.1	14.7	13.0	12.4	11.6	12.3
Other Invested Assets	0.2	0.4	0.2	0.4	0.3	0.5	0.8
Total Unaffiliated	98.8	99.2	98.7	99.2	99.1	98.9	98.8
Investments in Affiliates	1.2	0.8	1.3	0.8	0.9	1.1	1.2
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.4	0.3	0.6	0.5	0.2	9.1
Government Agencies and Municipal Bonds	0.6	2.1	2.0	3.0	0.7	10.1
Industrial and Miscellaneous Bonds	6.5	17.4	21.2	37.3	7.3	10.7
Hybrid Securities	...	...	...	...	...	14.8
Total Bonds	7.4	19.8	23.8	40.8	8.2	10.6

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	2,001,956	1,842,073	1,667,497	1,524,066	1,378,559
US Government (%)	1.8	0.8	0.8	0.9	1.0
Foreign - All Other (%)	12.7	14.1	13.0	11.5	10.4
State, Municipal & Special Revenue (%)	8.4	8.3	8.7	9.8	11.3
Industrial & Miscellaneous (%)	77.2	76.8	77.4	77.6	76.7
Hybrid Securities (%)	...	0.1	0.1	0.2	0.2
SVO Identified (%)	...	...	...	...	0.4
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

Cash flow testing (CFT) is analyzed in tandem with the company's asset-liability management (ALM) strategy and low policyholder behavior risk. Interim surplus values of CFT are positive on a book value basis for each of the scenarios. The company's ALM program is strong, and the company leverages its predictable liability cash flows to invest in longer term assets.

A potential threat could be triggered by a high volume of claims for a given year resulting in the sale of assets to cover liabilities. The company could be negatively impacted if assets are sold in a rising interest rate environment. This factor is mitigated by the company's consistent/strong sales which lends to steady cash flow management. A triple punch of rising rates, higher than expected claims, and a significant decrease in sales could cause problems for the company, leaving losses to be absorbed by capital.

Holding Company Assessment

The shareholders of Directors Investment Group, Inc. (DIG) continue to target long-term growth and currently plan no future dividend payments from the insurance company. DIG will continue to be a possible source for capital raising. In addition, management is committed to supporting the capital needs of FDLIC, if needed, for expansion. Leverage at the holding company is entirely internal debt that resides in the general account of FDLIC. As of 2024, the holding company has no outstanding debt. Going forward, capital and surplus is expected to continue to grow through profitable operations and the retention of earnings. Further, various businesses within DIG provide strategic support in terms of investment, innovation, marketing, and IT to FDLIC.

Operating Performance

The assessment of the company's overall operating performance is adequate. Investment returns are above industry average, and the company achieves this by maintaining a consistent net yield, driven by fixed income investments. Net yield was 4.94% in 2024. Total earnings are adequate, averaging a roughly high single-digit ROE in the last few years. The rapid premium growth has brought increased expenses but return metrics are still above industry averages. Statutory earnings have seen some decline over recent years but did exhibit moderate growth in 2024. Additionally, direct premiums increased year-over-year and reflect the market's desire to pre-plan as well as increased policy sizes.

Operating Performance (Continued...)

Year End - December 31

Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	1,246	1,793	1,676	-2,230	1,451
Group Life	4,400	1,482	3,127	10,636	6,207
Individual Annuities	7,050	7,018	5,729	2,600	2,175
Total	12,696	10,293	10,533	11,006	9,832

Source: BestLink® - Best's Financial Suite

Business Profile

Funeral Directors Life Insurance Company (FDLIC) is a wholly-owned subsidiary of Directors Holding Corporation (DHC), a second-tier holding company, domiciled in Nevada. DHC in turn is a wholly-owned subsidiary of Directors Investment Group Inc. (DIG), a Nevada Corporation. DIG was formed as an insurance holding company and has since coordinated the activities of DHC, as well as the activities of FDLIC and its wholly owned subsidiary Kentucky Funeral Directors Life Insurance Company (KFDLIC). In 2019, the company established Funeral Directors Life of Louisiana (FDLA), for licensing purposes, and has started building momentum in terms of sales. During 2022, Funeral Directors acquired American Life and Annuity Company, a preneed life company domiciled in Arkansas.

AM Best views FDLIC's business profile as neutral, due primarily to its concentration in the preneed market. While this product is generally considered as average risk, the overall market for preneed has seen new competitive pressures in recent years. The product is available under two lines, life and annuity, depending on age, regulation or health status. The company benefits from good market share in the industry and extensive expertise in the funeral home business. The company has also developed multiple ancillary services to better serve funeral homes.

FDLIC is licensed in 48 states and currently writes business in 44 of those states with a little more than a fifth of business written in Texas, its largest state by premium volume. Prearranged funerals are the company's primary means of selling its insurance products, which involves the decision of a consumer to pre-plan his or her funeral. The company offers ordinary life, group life and individual deferred annuity contracts, which are designed to meet the needs of the funeral home owner and purchaser to fund the preneed funeral service. The insurance company utilizes an affiliate, Funeral Agency Inc. (FAI), as the primary marketing arm for the marketing and selling of pre-arranged funerals in Texas. FAI was established as a Texas Department of Banking prepaid funeral permit holder and marketer of pre-arranged funerals and holds a prepaid funeral permit issued by the Colorado Department of Insurance as well. These products are solicited by an agency force, using lead generation programs that attract interested buyers through direct mail, social media, educational seminars, lunch and learns and referrals and are primarily targeted towards individuals in the older age group (over 50). FAI's focus will continue to be solely in Texas and Colorado. FDLIC has also formed a relationship with Precoa, a competitor, which has greatly contributed to the strong premium growth experienced since 2020. Precoa has an extensive distribution network, which FDLIC has benefited from. FDLIC continues to focus on the product and service needs of individual funeral homes but will also build relationships with various general agencies within the preneed funeral market. The company recruits representatives in each new state who are responsible for calling on funeral directors and offering the products and services of FDLIC. The distribution model is not easily replicable.

Other products that are sold by FDLIC, which help meet the needs of purchasers, are various annuity products. These annuity products are designed to take the place of a certificate of deposit or trust fund that the purchaser has put aside for funeral arrangements and represent a major portion of FDLIC's business. Individual annuities represent more than 50% of insurance reserves for the company, somewhat unusual for preneed life insurance companies.

A societal trend towards more cost-effective funeral approaches in general could pose a threat to the business model, although the group is proactively managing this risk with innovative approaches. Additionally, policy sizes have continued to increase over the years.

FDLIC was the first company in the state of Texas to receive approval to convert trust-funded prepaid funerals to annuity contracts. There may be continued opportunity for conversions of smaller trusts in Texas, as well as converting similar trusts in states where it is currently licensed. Beyond preneed, FDLIC also provides customers with other value-added services such as mortgage lending, marketing services, and financial services. These extensive ancillary services deepen the company's ties with funeral homes and further entrench them within the industry, both providing convenience for the funeral home and increasing the difficulty for the relationship to be severed by the client.

Business Profile (Continued...)

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	67,633	12.6	...	...	2	100.0	67,631	12.6	100.0
Group Life	150,437	28.1	...	...	...	...	150,437	28.1	100.0
Individual Annuities	317,333	59.3	...	...	...	...	317,333	59.3	100.0
Total	535,403	100.0	...	...	2	100.0	535,401	100.0	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
Texas	103,318	105,325	93,105	79,651	69,810
Minnesota	62,113	52,798	48,957	43,286	33,888
Ohio	52,943	47,093	44,000	39,768	27,137
Pennsylvania	50,648	47,356	39,245	33,966	25,543
Wisconsin	33,792	32,404	31,718	25,601	15,673
Top 5 States	302,814	284,976	257,024	222,272	172,051
All Other	231,230	189,750	167,159	135,637	87,211
Total	534,044	474,725	424,183	357,909	259,262
Geographic Concentration Index	0.08	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

The company has been strengthening its ERM program. Since 2019, FDLIC has worked to increase formalization of its risk management practices, including the addition of a chief risk officer role and further strengthening of cyber risk management practices by creating a dedicated information security department and a chief information security officer. AM Best expects the company to further develop and embed its existing risk management practices going forward. The company identifies its risk in a comprehensive way. Risk appetite and tolerances are implied informally by the company's sole business interest in preneed life and annuity insurance. Due to the company's exclusive focus on the preneed market, the breadth of potential risk factors is relatively limited but concentrated. The company follows a conservative investment approach, except for the mortgage loan portfolio; however, the mortgage loan portfolio is an area where the company has extended expertise and consists of loans extended to funeral homes and serve multiple purposes within the enterprise risk management spectrum. Liability cash flows are less interest rate sensitive than other life/annuity products, given the nature of the preneed business. The company has adopted a strong asset-liability matching strategy that matches future liabilities with expected claims funded by the anticipated cash flow of investments. Additionally, its annual cash flow testing results in aggregate have shown that no additional reserves have been needed in 2024 as well as prior years.

Reinsurance Summary

The company does not utilize reinsurance.

Environmental, Social & Governance

As a preneed company, AM Best considers Funeral Directors' current exposure to material environmental, social and corporate governance (ESG) factors to be low.

Financial Statements

	6-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	14,864	0.6	13,285	0.5	11,475	0.5
Bonds	2,099,958	80.9	2,001,956	81.6	1,842,073	83.6
Preferred and Common Stock	7,458	0.3	7,157	0.3	5,644	0.3
Other Invested Assets	428,545	16.5	389,498	15.9	307,686	14.0
Total Cash and Invested Assets	2,550,826	98.3	2,411,895	98.3	2,166,878	98.3
Premium Balances	1,837	0.1	1,802	0.1	1,981	0.1
Net Deferred Tax Asset	7,323	0.3	6,029	0.2	5,505	0.2
Other Assets	34,737	1.3	32,863	1.3	29,163	1.3
Total General Account Assets	2,594,722	100.0	2,452,589	100.0	2,203,528	100.0
Total Assets	2,594,722	100.0	2,452,589	100.0	2,203,528	100.0
Net Life Reserves	2,350,450	90.6	2,215,861	90.3	1,977,996	89.8
Liability for Deposit Contracts	841	...	739	...	612	...
Asset Valuation Reserve	29,119	1.1	26,909	1.1	22,374	1.0
Other Liabilities	29,248	1.1	28,304	1.2	32,174	1.5
Total General Account Liabilities	2,409,657	92.9	2,271,813	92.6	2,033,156	92.3
Total Liabilities	2,409,657	92.9	2,271,813	92.6	2,033,156	92.3
Capital Stock	2,500	0.1	2,500	0.1	2,500	0.1
Paid-In and Contributed Surplus	3,031	0.1	3,031	0.1	3,031	0.1
Unassigned Surplus	179,533	6.9	175,245	7.1	164,840	7.5
Total Capital and Surplus	185,064	7.1	180,776	7.4	170,371	7.7
Total Liabilities, Capital and Surplus	2,594,722	100.0	2,452,589	100.0	2,203,528	100.0

Source: BestLink® - Best's Financial Suite

	6-Months		Year End - December 31	
	2025	2024	2024	2023
Income Statement USD (000)				
Net Premiums Earned:				
Individual Life	...	...	67,631	53,900
Group Life	...	...	150,437	135,180
Individual Annuities	...	...	317,333	285,601
Total Net Premiums Earned	302,782	263,860	535,401	474,680
Net Investment Income	62,193	54,355	114,106	100,359
Other Income	1,947	1,645	3,214	2,898
Total Revenue	366,922	319,861	652,721	577,936
Policy Benefits	276,975	241,727	495,375	436,316
Commissions and Expense Allowances	49,055	38,122	79,909	68,354
Insurance and Other Expense	31,855	28,998	57,340	56,412
Dividends to Policyholders	486	527	927	909
Pre-Tax Net Operating Gain	8,550	10,486	19,170	15,946
Income Taxes Incurred	3,272	3,353	6,473	5,654
Net Operating Gain	5,279	7,133	12,696	10,293
Net Realized Capital Gains	233	254	517	522
Net Income	5,512	7,386	13,213	10,814

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	303,167	261,063	534,211	474,837
Net Investment Income	61,546	54,926	115,381	98,679
Other Income Received	2,060	1,768	3,209	2,924
Total Collected Operating Revenue	366,773	317,756	652,801	576,440
Net Benefits and Loss Related Payments	142,244	130,065	257,471	233,061
Commissions and Other Expenses Paid	80,970	66,980	137,007	123,652
Dividends to Policyholders	486	531	1,027	1,120
Income Taxes Paid (Recovered)	2,794	5,223	8,978	3,340
Total Paid Expenses and Transfers	226,494	202,799	404,483	361,174
Net Operating Cash Flow	140,280	114,957	248,317	215,266

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

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